

SECURITIES AND EXCHANGE BOARD OF INDIA CIRCULAR

Ref. No.: SEBI/HO/MIRSD/DOP/CIR/P/2025/112

Date: March 14, 2025

To

All Stock Brokers
All Recognised Stock Exchanges
(through their Compliance Officers)

Dear Sir/Madam,

Subject: Master Circular for Stock Brokers — Reporting, Cyber Security and Monthly Compliance Obligations

1. This circular consolidates and supersedes prior instructions issued to stock brokers regarding periodic reporting, cyber security disclosures, and compliance certification requirements, in exercise of powers conferred under Section 11(1) of the Securities and Exchange Board of India Act, 1992, read with the provisions of the Securities Contracts (Regulation) Act, 1956.

2. Applicability

2.1 This circular is applicable to all stock brokers registered with SEBI under the SEBI (Stock Brokers) Regulations, 1992, and to recognised stock exchanges for the purpose of monitoring compliance by their trading members.

3. Monthly Compliance Reporting

3.1 Every stock broker shall submit a monthly compliance report to the relevant stock exchange, in the format prescribed under Annexure A, covering the following particulars:

- Client complaints received and redressed during the month;
- Status of segregation of client funds and securities;
- Details of any regulatory action initiated against the broker during the month;
- Confirmation of adherence to risk management framework norms.

3.2 The monthly compliance report referred to in clause 3.1 shall be submitted within three (3) working days from the end of the relevant month ("T+3 working days").

3.3 Stock brokers shall retain evidence of submission (acknowledgment receipt from the exchange) for a minimum period of five (5) years.

4. Quarterly Declaration

4.1 In addition to the monthly compliance report, every stock broker shall submit a quarterly declaration confirming that no material change has occurred in the broker's shareholding pattern, key managerial personnel, or net worth position, as prescribed under Annexure B.

4.2 The quarterly declaration shall be submitted within fifteen (15) calendar days from the end of the relevant quarter.

5. Cyber Security and Cyber Resilience

5.1 Stock brokers classified as “Qualified Stock Brokers” under applicable SEBI guidelines shall conduct an annual cyber audit of their trading systems and submit the audit report to the relevant stock exchange.

5.2 The annual cyber audit report shall be submitted within thirty (30) days of completion of the audit, and in any case not later than April 30 of the following financial year.

6. Risk Disclosure Documentation

6.1 Every stock broker shall ensure that the Risk Disclosure Document provided to clients at the time of account opening is updated to reflect current regulatory requirements and is re-executed by existing clients at intervals not exceeding three (3) years.

7. This circular shall come into force with immediate effect. All previous circulars and instructions on the subject matter covered herein stand superseded to the extent of their inconsistency with this circular.

8. This circular is issued in exercise of powers conferred under Section 11(1) of the SEBI Act, 1992, to protect the interests of investors in securities and to promote the development of, and to regulate, the securities market.

Yours faithfully,

General Manager

Market Intermediaries Regulation and Supervision Department

Securities and Exchange Board of India